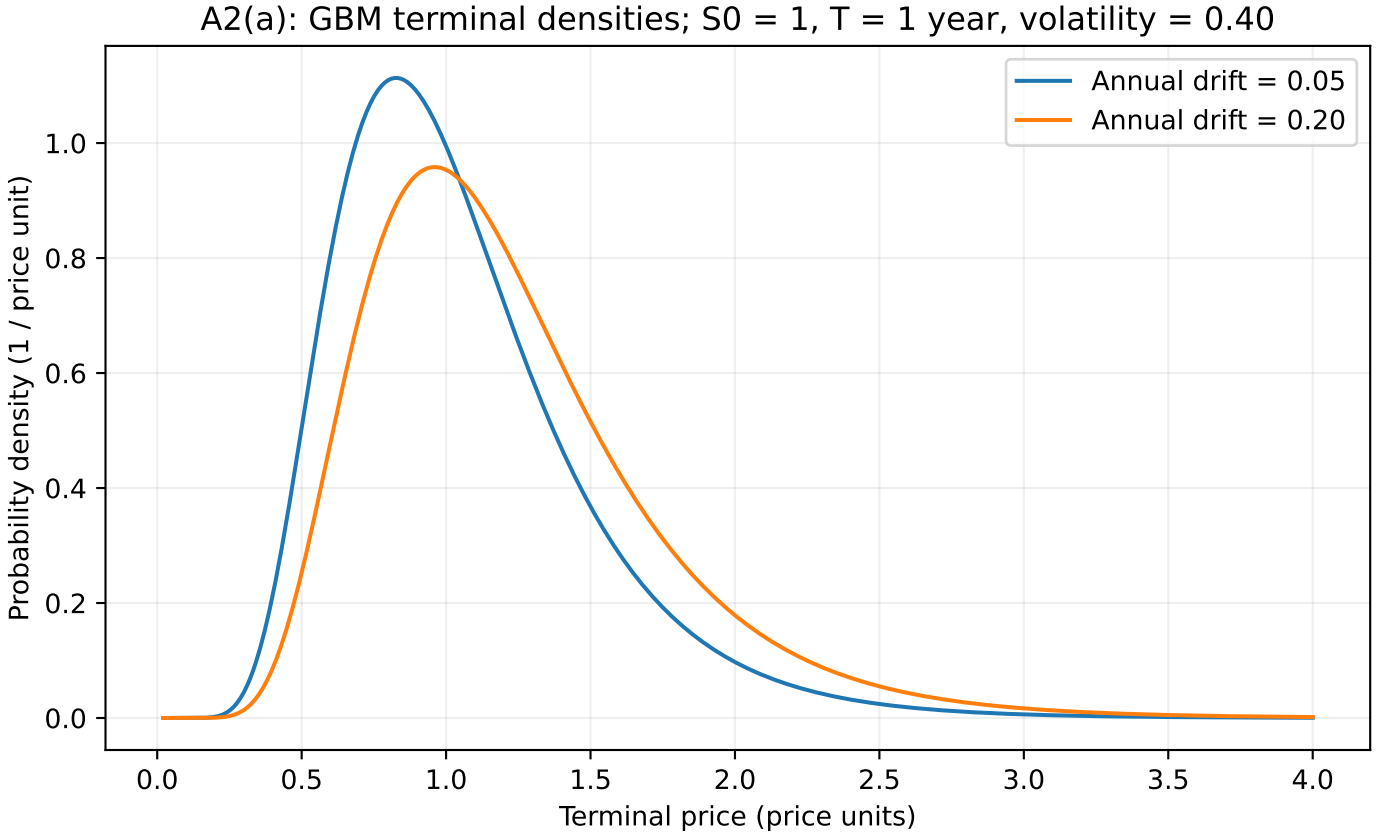
A2(a): GBM terminal densities; S0 = 1, T = 1 year, volatility = 0.40
Annual drift = 0.05
Annual drift = 0.20
Probability density (1 / price unit)
0.0
0.2
0.4
0.6
0.8
1.0
0.0
0.5
1.0
1.5
2.0
2.5
3.0
3.5
4.0
Terminal price (price units)